Major Window-Dressing in Capital Expenditure

The government gave a loan from the general revenues to the Railways (both the accounts are otherwise part of the same CFI) of Rs 89,000 crore for covering revenue losses on account of COVID-19 and the lockdown. Excluding this window-dressing, there was a net decrease of Rs 58,000 crore in the capital expenditure in the revised estimates.

The Ministry of Railways had a capital expenditure provision of Rs 70,000 crore in BE20–21. In the revised estimates, it went up to Rs 1,08,398 crore which, on the face of it, is a decent increase of Rs 38,398 crore. A closer scrutiny of capital expenditure of the Railways for financial year 2020–21, however, revealed large revenue expenditure disguised as capital expenditure.

Capital expenditure, under all the regular heads of the Railways for 2020–21, has heavily underperformed during the year. Capex for the construction of new lines has reduced from Rs 12,000 crore to only Rs 929 crore, for gauge conversion from Rs 2250 crore to merely Rs 26 crore, for rolling stock from Rs 5787 crore to Rs 2004 crore, for track renewals from Rs 10,599 crore to nil, and so on. However, the government from the General Budget gave a ‘Special Loan for Covid-Related Resource Gap’ of Rs 79,398 crore to the Railways to provide liquidity support to meet its losses in the current year and also for ‘liquidating adverse balance in the public account’ of the Railways for the year 2019–20.

If the ‘capital expenditure’ of ‘Special Loan for Covid-Related Resource Gap’, is eliminated from capital expenditure, the actual capital expenditure of Railways for financial year 2020–21 comes down to only Rs 29,000 crore. Railways infrastructure from government support got reduced from Rs 70,000 crore from the Budget to Rs 29,000 crore in the revised estimates. Railways’ expenditure reduction, effectively, was the largest contributing reduction to the capital expenditure.